

Marriott Case

Questions for Write-Up and Class Discussion

Read the case and answer the following questions

1. Project Chariot involves a conflict of interests. Describe this conflict, who it is between, and who stand to gain or lose from this project. In the lecture, we saw a number of different conflicts of interest. Which of these is this project most similar to?

Hint #1: Recall we talked about “agency conflicts” between equity holders and debt holders in Lecture 8B. This question is asking you about the different entities involved in the conflict and describing the nature of this conflict.

Hint #2: In Lecture 8B, we discussed three types of conflicts. Wealth Transfer, Risk Shifting and Debt Overhang. Which one does Project Chariot resemble the most?

2. Now, consider two different conceptions of managers’ fiduciary duty (see page 7-8 of the case). The narrow view (the “shareholder view”) is that managers are responsible for serving the interests of just the shareholders. The broader view (the “stakeholder view”) is that managers should also consider interests of corporate stakeholders more generally, for example employees and bondholders. Which view do you favor? Do you find that the transaction is consistent with management’s responsibilities?

Hint #1: Does any entity stand to lose from this transaction? Does any entity stand to gain from this transaction?

Hint #2: What “tools” do debt holders have at their disposal when they enter into a contract with a firm?

3. In your opinion, should Mr. Marriott recommend this project to the board? Be prepared to defend your opinion in class.